

Scheme of Valuation

**B. COM DEGREE (CBCS) REGULAR/ REAPPEARANCE/ MERCY CHANCE EXAMINATIONS, MARCH
2026**

SIXTH SEMESTER

CORE- CO6CRT20- MANAGEMENT ACCOUNTING

Part A

Answer any ten questions. Each question carries 2 marks

1. Distinguish between Management Accounting and Financial Accounting?

Basis	Financial Accounting	Management Accounting
Purpose	To ascertain profit or loss and financial position	To provide information to management for decision making
Reporting	Financial accounting is concerned with external reporting	Management accounting is concerned with internal reporting

2. What is Performance Budgeting?

Performance budgeting is a crucial concept in the field of finance and budgeting. A performance budget refers to programs, functions, and performance that reflect the estimated expenses and revenues of companies, government entities, or statutory bodies. It focuses mainly on inputs and expenditures; performance budgeting shifts the focus to outcomes and results.

3. Define Financial Statements.

John N Myer The financial statements provide a summary of the accounts of a business enterprise, the balance sheet reflecting the assets, liabilities and capital as on a certain date and the income statement showing the results of operations during a certain period.

4. Distinguish between analysis and interpretation. (Award full marks for two points)

Basis	Analysis	Interpretation
Meaning	Breaking down financial data into smaller parts to understand the relationships among them.	Giving meaning to the results of analysis and drawing conclusions.
Nature of Work	Quantitative	Qualitative
Objective	To present financial information in a structured and understandable form.	To evaluate the financial health and performance of the business.

5. Define Ratio Analysis.

Ratio analysis is a technique of analysis and interpretation of financial statements. Ratio analysis is the process of establishing and interpreting various ratios for helping in making certain decisions.

6. Write a note on Secondary ratios.

Secondary ratio is a classification of ratio based on significance or importance. The other ratios which support or explain the primary ratio is called secondary ratio. Example- The relationship of operating profit to sales or the relationship of sales to total assets etc.

7. Calculate Proprietary Ratio from the following: Equity Share capital Rs.30,00,000; General Reserve Rs. 17,00,000; Profit & Loss A/C (Rs.2,00,000); Current Liabilities Rs. 8,00,000; Non-current Assets Rs. 54,00,000, Current Assets Rs.36,00,000.

$$\text{Proprietors' Funds/Total Assets} = 45,00,000 / 90,00,000 = \underline{\underline{0.5 : 1}}$$

8. What is Average Collection Period?

Average Collection Period is the average number of days (or months) a firm takes to convert its debtors (accounts receivable) into cash.

$$\text{Average Collection Period} = \text{Debtors/Credit Sales} \times 365$$

9. What do you mean by the term 'Fund'?

The term fund has different meaning under different senses and they are

In a narrow sense fund means cash only.

In a broader sense the term fund refers to money values in whatever form it may exist. In a popular sense the term fund means working capital.

10. Compute Funds from Operations: Profit after tax: Rs. 53,000, Provision for Tax: Rs. 15,000, Income tax paid: Rs 15,900, Depreciation Rs.5, 500.

$$\begin{aligned} \text{Funds from Operations} &= \text{Profit after tax} + \text{Provision for Tax} + \text{Depreciation} \\ &= 53000 + 15000 + 5500 = \underline{\underline{73,500}} \end{aligned}$$

11. What is meant by Non-Trading Receipt ? Give an example.

Non-Trading Receipt refers to any income or receipt that a business gets from activities other than its normal trading or operational work. These receipts do not arise from the sale of goods or services and are therefore not part of regular business income. Ex Dividend received on investments, Interest received on bank deposits.

12. A Company had the following balances:

PARTICULARS	(Rs.)
Investments in the beginning	34,000
Investments at the end	28,000

During the year the company sold 40% of its investment held in the beginning of the year at a profit of Rs. 8,400. Calculate Cash Flow from investing activity.

Computation of Cash flow from investing activity

Particulars		Amount
Sale of Investments	WN 1	22,000
Purchase of Investment	WN 2	(7,600)
Cash flow from Investing Activity		14,400

WN 1 = 40 % of Rs. 34,000 + Rs.8,400

WN 2= Rs.28,000 – [34,000 – 13,600 (40 % of Rs. 34,000)]

Part B

Answer any Six questions. Each question carries 5 marks.

13. What are the main objectives of cost accounting? Award Marks for any 5 points

- I. Cost Ascertainment
- II. Cost Control
- III. Cost Reduction
- IV. Pricing and Decision-making support
- V. Budgeting and Planning
- VI. Profitability Analysis
- VII. Inventory Valuation
- VIII. Cost Reporting
- IX. Improving Operational Efficiency

14. Explain the advantages of Comparative Statements. Award Marks for any 5 points

- **Shows trends clearly** — Helps compare financial data across years to identify growth or decline.
- **Highlights changes in performance** — Makes it easy to spot increases or decreases in income, expenses, assets, and liabilities.
- **Facilitates better decision-making** — Managers and investors can judge financial progress and take informed actions.
- **Helps detect abnormalities** — Unusual variations become visible immediately, aiding investigation and correction.
- **Improves financial analysis** — Enables ratio analysis, structural analysis, and inter-period comparison.
- **Supports forecasting** — Past trends help estimate future performance more reliably.
- **Ensures transparency and consistency** — Side-by-side presentation improves clarity and comparability.
- **Useful for performance evaluation** — Helps assess whether the company is improving, stagnating, or declining

15. Comparative Balance Sheet

Liabilities	2017-18 (₹)	2018-19 (₹)	Increase (+) / Decrease (-) (₹)	% of Increase / Decrease
Share Capital	32,00,000	33,00,000	+1,00,000	+3.13%
Reserves & Surplus	5,00,000	2,00,000	-3,00,000	-60.00%
9% Debentures	14,00,000	16,00,000	+2,00,000	+14.29%
Trade Payables	3,00,000	4,50,000	+1,50,000	+50.00%
Total Assets	54,00,000	55,50,000	+1,50,000	+2.78%
Land & Buildings	35,00,000	40,00,000	+5,00,000	+14.29%
Government Bonds	6,00,000	6,00,000	—	—
Short-term Investments	5,00,000	4,00,000	-1,00,000	-20.00%
Inventories	6,00,000	4,50,000	-1,50,000	-25.00%
Cash at Bank	1,50,000	75,000	-75,000	-50.00%
Cash in Hand	50,000	25,000	-25,000	-50.00%
Total	54,00,000	55,50,000	+1,50,000	+2.78%

16. Explain the significance of Current Ratio and Quick Ratio with suitable example.

The Current Ratio measures a firm's ability to pay its short-term liabilities using all its current assets.

$$\text{Current Ratio} = \frac{\text{Current Assets}}{\text{Current Liabilities}}$$

Significance

- Shows overall short-term financial strength.
- A ratio > 1 indicates the firm can meet its current obligations.
- A very high ratio may indicate idle or inefficiently used assets.
- Helps creditors judge the safety of giving short-term credit.

Example

Suppose a company has:

- Current Assets = ₹6,00,000
- Current Liabilities = ₹3,00,000

$$\text{Current Ratio} = \frac{6,00,000}{3,00,000} = 2:1$$

Interpretation: The company has ₹2 of current assets for every ₹1 of current liability — a comfortable liquidity position.

The Quick Ratio (Acid-Test Ratio) measures the ability to pay short-term liabilities **without relying on inventory**, which may take time to convert into cash.

$$\text{Quick Ratio} = \frac{\text{Quick Assets}}{\text{Current Liabilities}}$$

Where: **Quick Assets = Current Assets – Inventory – Prepaid Expenses**

Significance

- Shows **immediate liquidity**.
- More reliable than Current Ratio because inventory may not be quickly sold.
- A ratio of **1:1** is generally considered satisfactory.
- Useful for businesses with **slow-moving or obsolete inventory**.

Example

- Current Assets = ₹6,00,000
- Inventory = ₹2,00,000
- Current Liabilities = ₹3,00,000

$$\text{Quick Assets} = 6,00,000 - 2,00,000 = ₹4,00,000$$

$$\text{Quick Ratio} = \frac{4,00,000}{3,00,000} = 1.33:1$$

Interpretation: The firm can pay its immediate liabilities even without selling inventory — a strong liquidity position.

17. The question is found to be incorrect as the liability side of the balance sheet is incomplete. Hence, full marks may be awarded to all candidates who have attempted the question. **Value Liberally**

18. "A Funds Flow Statement is a better substitute for an Income Statement"

Discuss. (Award Marks if basic concepts relating to fund flow is expressed)

A Funds Flow Statement is often considered more useful than an Income Statement for analysing changes in the financial position of a business. While the Income Statement shows profit or loss for a period, it does not explain how funds were generated or used. A Funds Flow Statement highlights the sources and applications of funds, showing movements in working capital and long-term financial decisions such as issue of shares, repayment of loans, or purchase of fixed assets. It also adjusts non-cash items like depreciation, giving a clearer picture of actual fund flow. Therefore, although it cannot replace the Income Statement for measuring profitability, it provides deeper insight into financial strength, liquidity, and resource management, making it a better tool for financial analysis and planning.

19. **Schedule of changes in working capital**

Particulars	2018	2019	Effect on Working Capital	
			Increase	Decrease
Current Assets				

Stock	85000	104000	19000	
Debtors	159000	150000		9000
Bills Receivable	11000	13000	2000	
Cash	110000	170000	60000	
Total Current Assets	365000	437000		
Current Liabilities				
Trade Creditors	100000	70000	30000	
Provision for Taxation	10000	12000		2000
Total Current Liabilities	110000	82000		
Working Capital (CA-CL)	255000	355000		
Increase in Working Capital	100000			100000
	355000	355000	111000	111000

20. Cash flow from Operating activities

Particulars		Amount
Operating Profit Before Working Capital Changes		Rs. 3,50,000
Add decrease in Trade Receivables	Rs.45,000	
Add decrease in Inventories	Rs,1,00,000	
Add increase in Outstanding Salary	Rs.8,000	
Less Decrease in Trade Payables	(Rs.32,000)	
Less increase in prepaid expenses	(Rs.36,000)	
		Rs. 85,000
Cash generated from financing activity		Rs. 4,35,000

21. Cash flow from Financing activities

Particulars	Amount
Proceeds from issue of 12 % Debentures	Rs. 1,00,000
Interest paid on Debentures	(Rs.19,000)
Dividend Paid	(Rs.50,000)
Cash generated from financing activity	Rs. 31,000

The increase in share capital amounting to Rs. 2,00,000 is not taken since it arise by way of bonus issue of shares.

Part C

Answer any Two questions. Each question carries 15 marks

22. Comparative Balance Sheet of HK Ltd

	2018	2019	Absolute Change Increase/ Decrease	% Increase/ Decrease
I. Assets:				
1. Non-Current Assets				
a) Fixed: Tangible Assets	7,60,000	8,60,000	1,00,000	13.16
Total (A)	7,60,000	8,60,000	1,00,000	13.16
2. Current Assets				
i) Stock	3,00,000	3,40,000	40,000	13.33
ii) Debtors	90,000	1,00,000	10,000	11.11
iv) Cash	60,000	1,80,000	1,20,000	200.00
Total (B)	4,50,000	6,20,000	1,70,000	37.78
Total	12,10,000	14,80,000	2,70,000	22.31
II. Equity and Liabilities:				
1. Share Holder's Fund				
a) Share Capital	7,00,000	8,00,000	1,00,000	14.29
b) Profit and Loss Account	-10,000	50,000	60,000	600.00
Total (A)	6,90,000	8,50,000	1,60,000	23.1884058
2. Non-Current Liabilities				
Long Term Borrowings	4,00,000	5,00,000	1,00,000	25.00
Total (B)	4,00,000	5,00,000	12,000	3.00
3. Current Liabilities				
Trade Creditors	1,20,000	1,30,000	10,000	8.33
Total (C)	1,20,000	1,30,000	10,000	8.33
Total	12,10,000	14,80,000	2,70,000	22.31

23. Balance Sheet of Moon Light

Liabilities	Amount (Rs.)
Share Capital	800000
Reserves and Surplus	400000
Current liabilities	200000
Total	14,00,000

Assets	
Fixed assets	900000
Current Assets	500000
Total	1400000

For Balance Sheet -2 Marks**Working Notes****WN-1** : Calculation of Current Assets – **1 Mark**

Net Working Capital = CA- CL

Rs.3,00,000= 2.5-1

Rs.3,00,000= 1.5

Current Assets= (Rs.3,00,000/1.5)X 2.5 = Rs.5,00,000

WN-2 : Calculation of Current Liabilities**1 Mark**

Current Liabilities= (Rs.3,00,000/1.5) = Rs.2,00,000

WN-3: Calculation of Liquid Assets

Liquid Assets= Current Liabilities X Rs.2,00,000

= Rs.3,00,000

WN-4: Calculation of Stock**1 Mark**

Stock = Current Assets- Liquid Assets = Rs.5,00,000- Rs.3,00,000 = Rs.2,00,000

WN-5: Calculation of Cost of Sales**1 Mark**

Closing Stock X 8 = Rs.2,00,000 X 8 = Rs.16,00,000

WN-6: Calculation of Sales**1 Mark**Sales = $\frac{\text{Cost of Sales}}{80} \times 100 = \frac{1600000}{80} \times 100 = \text{Rs.20,00,000}$ **WN-7**: Calculation of Debtors**2 Marks**Average Debt Collection Period = $\frac{\text{Debtors}}{\text{Sales}} \times 12 =$ $1.5 = \frac{\text{Debtors}}{\text{Rs.20,00,000}} \times 12$

Debtors=Rs.2,50,000

WN-8: Calculation of Net worth, capital and Fixed assets(**5 Marks**)

Fixed assets =.75 Net worth

Also given

Reserves & Surplus / Capital = 0.50

Therefore Reserves& Surplus= .5 Capital

Net worth = Capital +Reserves and surplus

Net worth = Capital +.5 Capital

Net worth = 1.5 Capital

Thus, Fixed Assets=.75 X1.5 capital= 1.125 capital

Total assets = Total Liabilities

Fixed assets + Current Assets = Capital +Reserves and surplus + Current Liabilities

1.125 Capital +5,00,000= 1.5 Capital + 2,00,000

Capital =8,00,000

Reserves and Surplus =4,00,000

Fixed Assets= 1.125 capital = 9,00,000

24.

1) When Provision for taxation is treated as current liability

Statement of sources and application of funds of Essar Ltd as on 31-03-2019 (8 Marks)

Sources	Amount	Applications	Amount
Proceeds from issue of Equity Shares	10,000	Purchase of Machinery	30,000
Proceeds from issue of Preference Shares	30,000	Purchase of Plant	26,000
Share Premium	6,000	Redemption of Debentures	6,000
Funds from operations	30,000	Net Increase in Working Capital	14,000
	76,000		76,000

Schedule of Changes in Working Capital (4 Marks)

Particulars	2018	2019	Effect on Working Capital	
			Increase	Decrease
Current Assets				
Stock	84,000	98,000	14,000	
Debtors	38,000	38,000	-	
Bills Receivable	42,000	62,000	20,000	
Cash	42,000	32,000		10,000
Total Current Assets	2,06,000	2,30,000		
Current Liabilities				
Trade Creditors	38,000	46,000		8,000
Bills Payable	5,000	4,000	1,000	
Provision for Taxation	10,000	12,000		2,000
Dividends Payable	7,000	8,000		1,000
Total Current Liabilities	60,000	70,000		
Working Capital (CA-CL)	1,46,000	1,60,000		
Net Increase in Working Capital	14,000			14,000
	1,60,000	1,60,000	35,000	35,000

Funds from operations (3 Marks)

Particulars	Amount
Balance of P&L Account on 31/03/2019	1,34,000
Less Balance of P&L Account on 31/03/2018	1,04,000
Funds from operations	30,000

Alternatively**2) When Provision for taxation is treated as non-current liability****Statement of sources and application of funds of Essar Ltd as on 31-03-2019 (8 Marks)**

Sources	Amount	Applications	Amount
Proceeds from issue of Equity Shares	10,000	Purchase of Machinery	30,000
Proceeds from issue of Preference Shares	30,000	Purchase of Plant	26,000
Share Premium	6,000	Redemption of Debentures	6,000
Funds from operations	32,000	Net Increase in Working Capital	16,000
	78,000		78,000

Schedule of Changes in Working Capital (4 Marks)

Particulars	2018	2019	Effect on Working Capital	
			Increase	Decrease
Current Assets				
Stock	84,000	98,000	14,000	
Debtors	38,000	38,000	-	
Bills Receivable	42,000	62,000	20,000	
Cash	42,000	32,000		10,000
Total Current Assets	2,06,000	2,30,000		
Current Liabilities				
Trade Creditors	38,000	46,000		8,000
Bills Payable	5,000	4,000	1,000	
Dividends Payable	7,000	8,000		1,000
Total Current Liabilities	50,000	58,000		
Working Capital (CA-CL)	1,56,000	1,72,000		
Net Increase in Working Capital	16,000			16,000
	1,72,000	1,72,000	35,000	35,000

Funds from operations (3 Marks)

Particulars	Amount
Balance of P&L Account on 31/03/2019	1,34,000
Less Balance of P&L Account on 31/03/2018	1,04,000
Current year profit	30,000
Add provision for taxation charged during 2019	2,000
Funds from operations	32,000

Note:- If debenture interest is taken into account, add ₹8,400 to funds from operations and record it on the application side of the fund flow statement as “Debenture Interest Paid ₹8,400.”

25. Cash Flow Statement of SK Ltd as on 31/12/2019**Direct Method- 9 Marks**

Particulars	Amount
Cash Flows from Operating Activities	
Cash receipts from customers	2,32,000
Cash paid to suppliers	1,54,000
Salaries paid	19,000
Insurance Premium Paid	10,000
Cash generated from operations	<u>49,000</u>
Income Taxes paid	-
Cash flow before extra-ordinary items	49,000
Extra ordinary items	-
Net Cash Flow from Operating Activities	<u>49,000</u>

Indirect Method- 6 marks

Particulars	Amount (Rs.)
Net Profit	40000
Add Non -cash item debited	
Depreciation	30000
Operating Profit Before Working Capital Changes	70000
Add increase in outstanding salaries	1000
Less increase in Stock	-10000
Less Decrease in Creditors	-4000
Less increase in Debtors	-8000
Net Cash Flow from Operating Activities	49000

Section II

CO6CRT20- MANAGEMENT ACCOUNTING

Maximum Marks: 20

1. A) Optional
2. C) Decreased Cash
3. C) Both a and b
4. D) Operating, Investing, and Financing Activities
5. D) A, B and C
6. D) All of the above
7. Out of Syllabus Award full mark
8. C) Both a and b
9. D) All of the above
10. A) Effective rate > Nominal rate
11. C) Rs 19,310
12. D) All of the above
13. C) Both a and b
14. D) 20%
15. C) Decrease in creditors
16. D) Increase in creditors
17. Out of Syllabus award full marks to all answers
A) Rs.2,00,000
18. Out of Syllabus award full marks to all answers
A) Profit
19. A)Interest coverage ratio
20. Out of Syllabus award full marks to all answers
D) All of the Above